

However, I bought at the right time because the stock lifted off the runway (at the bottom trendline) and climbed.

The stock threw back and bottomed at the price of the bottom trendline again before making its way up to cruising altitude.

Fast-forward to June 2000. Price had peaked and had retraced 18% off the high set in early May. Here's my notebook entry for the sale: "27 June 2000. I sold my entire holdings because the stock has pierced the support base of a descending triangle [meaning the triangle had a downward breakout]. With seasonal performance moving up in December and peaking in the spring, I missed the high by about \$3/share. *Ouch*. Oil prices are high, raising fuel costs, and interest rates are still high, maybe moving up more. So, it looks like the excitement is over although today the stock is up almost \$1."

I sold and made 27% on the trade. As good as that sounds, I sold at the day the stock bottomed. After that, it climbed by 89%. Well, spit! This keeps happening if you read about my trades. The day I sell the stock bottoms and makes a substantial rise. It's one of those *Catch-22* scenarios. If I hold on, the stock will continue down. If I sell, it'll double in price, thumbing its nose as I watch from the sidelines.

- Lesson: Assess how far price might drop before selling. The trade might be worth holding onto longer if the downside risk is limited.

Hercules Inc.

I wrote about Hercules Inc. (HPC) as a potential pipe bottom trade (weekly scale), but it's also a broadening bottom on the daily scale. Let me tell you how I traded the broadening bottom.

The stock made a nice-looking broadening bottom in May and June 2007. It included a partial decline that correctly predicted an upward breakout.

Did I take advantage of the partial decline? No. My notes don't tell why, either. I bought the day after an upward breakout. A better move would have had a buy stop placed at the top of the broadening bottom for a more timely and lower-priced entry. Or I could have bought earlier because of the partial decline (which is more risky).